FOREIGN AID APPROPRIATION BILL FOR 1949

HEARINGS

BEFORE THE

SUBCOMMITTEE OF THE COMMITTEE ON APPROPRIATIONS HOUSE OF REPRESENTATIVES

EIGHTIETH CONGRESS

SECOND SESSION

ON THE

FOREIGN AID APPROPRIATION BILL FOR 1949

PART 2

ROBERT P. WILLIAMS, Administrative Assistant, Editor

Printed for the use of the Committee on Appropriations

UNITED STATES
GOVERNMENT PRINTING OFFICE
75408 WASHINGTON : 1948

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The CHAIRMAN. Thank you very much.

TUESDAY, MAY 18, 1948.

CHINA-AID PROGRAM

STATEMENTS OF M. T. MOORE, SPECIAL ASSISTANT TO THE ADMINISTRATOR; HARLAN CLEVELAND, SPECIAL ASSISTANT ON CHINA, AND F. R. CAWLEY, ACTING BUDGET OFFICER, ECONOMIC COOPERATION ADMINISTRATION; WILLARD THORP, ASSISTANT SECRETARY OF STATE FOR ECONOMIC AFFAIRS; HUBERT HAVLIK, ACTING DIRECTOR, OFFICE OF FINANCIAL AND DEVELOPMENT POLICY; W. W. BUTTERWORTH, DIRECTOR FOR FAR EASTERN AFFAIRS; MELVILLE H. WALKER, ASSISTANT CHIEF OF FAR EASTERN BRANCH, DIVISION OF INVESTMENT AND ECONOMIC DEVELOPMENT; PHILIP D. SPROUSE, ASSISTANT CHIEF, DIVISION OF CHINESE AFFAIRS; AND ROBERT McBRIDE, ASSISTANT CHIEF OF PRODUCTION BRANCH, PETROLEUM DIVISION, DEPARTMENT OF STATE

The CHAIRMAN. We have before us Mr. Moore, special assistant to the Administrator of Economic Cooperation Administration, with his associates to present the China-aid program, contained in the estimate for $463,000,000, of which $125,000,000 is to be available exclusively for the purposes of subsection 404 (b) for aid to China, Public Law 472, of this Congress.

Mr. Moore, do you care to make a statement to the committee at this time?

GENERAL STATEMENT

Mr. MOORE. Mr. Chairman, I have a statement here by Mr. Hoffman, Administrator for Economic Cooperation, which he would like submitted for the record, and if you would like me to do so I will read it.

The CHAIRMAN. You may proceed.

Mr. MOORE (reading):

You have before you the request for an appropriation of $463,000,000 for aid to China. This request is in pursuance of the China Air Act of 1948 (title IV of the Foreign Assistance Act of 1948). Section 404 (a) authorizes the appropriation for aid to China of a sum not to exceed $338,000,000. Section 404 (b) authorizes the appropriation of a sum not to exceed $125,000,000 for additional aid to

China through grants. The act provides that the aid pursuant to section 404 (a) shall be administered under the applicable provisions of the Economic Cooperation Act of 1948 (title I); and that the aid pursuant to section 404 (b) shall be administered without regard to the provisions of such act. My comments are confined to the request for the appropriation of $338,000,000 for economic aid to China.

This amount of economic aid to China does not bulk large in the total funds which have been authorized to be appropriated under the Foreign Assistance Act of 1948 to promote stability and economic recovery in key areas of the world. But the importance of this aid to China is very great in relation to the needs of China.

As the testimony before Congress and the reports of the congressional Foreign Relations Committees showed, the situation in China is a very difficult one. The long struggle against the Japanese, followed by civil strife which has continued and grown in intensity, has resulted in an ever-increasing disruption and deterioration of the Chinese economy.

Today, China's civil war takes two-thirds of the Government's internal budget. The resulting inflation, which has now reached the point where it takes more than a million Chinese dollars to buy one American dollar in Shanghai's black market, is both a result and a cause of the progressive deterioration.

The Chinese rely heavily upon imports to keep their economy going. But inflation and instability in China have meant a decrease in exports and other receipts, which must be relied upon to pay for necessary imports.

I think it is important, therefore, to emphasize what I take to be the intent of Congress in passing the China Aid Act of 1948. It was not deemed possible under all the circumstances to work out a longer range plan of assistance to China, such as is embodied in the European recovery program. The aid now provided for is a 1-year program of assistance. I cannot emphasize too strongly, that this program, even if administered in the most effective way, cannot be expected to work any miracle in China. The program is designed to give China this further opportunity to work out for itself the means of arresting the deterioration of its economy, and of laying the ground work for rehabilitation and recovery. In according our help we must do the very best job that we can with what we have, calling on China for a continuation and an intensification of its efforts to create the necessary conditions to success.

To get down to one of the specific problems, China normally gets dollars to pay for imports from two main sources—export and remittances from Chinese living abroad. But during the last 2 years, China has been able to cover only a third of her dollar needs with export proceeds, and remittances have fallen to one-quarter of what they were before the war. As a result, China has been drawing from its dollar holdings at a rate which, if continued through this year, would entirely exhaust this source of paying for imports.

On the commodity side of the program, therefore, there has been submitted a justification for the spending of $276,000,000 for essential imports.

The first essential for the individual Chinese right now is food. The civil war has reduced food production so that China's large urban population in the coastal cities depends more than ever on rice and grain imported from southeast Asia and the United States. It is proposed to allocate $85,000,000 for the purchase of foodstuffs, mostly to maintain the urban rationing program which has been started under the foreign relief program.

It is proposed to finance the import of 72.5 million dollars' worth of cotton to keep China's textile mills going.

Cotton textile production is China's biggest industry, and cotton cloth is next to food in importance to the individual Chinese. For the Chinese farmer, it is proposed to finance the import of $24,000,000 worth of fertilizer to boost food production. For China's industries and transportation systems it is proposed to finance the import of $65,000,000 worth of petroleum and petroleum products and $20,000,000 of replacement parts. Ten million dollars is included in the program to support China's tobacco industry which provides an important source of revenue to the Chinese Government.

As to reconstruction, civil war and other uncertainties make it impossible to work out a broad program of reconstruction and development at this time—great as is the need for such a program. However, we believe that there are some projects which can and should go forward, as a part of this aid program. Accordingly, in the justification submitted to you, a total of $60,000,000 has been allocated to such projects. It is a very small amount compared to China's total needs. There already exists a large number of project applications on file in Washington

which far exceed in cost the funds available. Especially careful selection must therefore be made. I want to make sure that the projects receive thorough and up-to-the-minute analysis so that we choose the very best projects—those that are economically most worth while, that give promise of being administered in the most businesslike way, that assure the best value for each dollar supplied by the United States. Therefore, we expect to send out to China, before the end of this month, a special reconstruction survey group to study the projects on the ground, and recommend how the reconstruction part of this program can be carried out to the greatest advantage.

This brings us to rural reconstruction, which we consider to be a very significant part of this program of assistance to China. Section 407 (a) of the act authorizes the conclusion of an agreement with China to establish a joint commission on rural reconstruction in China, to be composed of two citizens of the United States appointed by the President, and three citizens of China appointed by the President of China. The act provides that such Commission shall, subject to the direction and control of the Administrator, formulate and carry out a program of reconstruction in rural areas in China, which shall include such research and training activities as may be necessary or appropriate therefor. The act provides that, insofar as practicable, an amount equal to not more than 10 percent of the funds made available under section 404 (a), that is, of the $338,000,000 requested to be appropriated therefor, shall be used for rural reconstruction. Such amount may be used in United States dollars, or the proceeds in Chinese currency realized from the sale of commodities, and it is anticipated that local currency shall be used to the greatest possible extent, consistent with a proper program. We all hope that this significant enterprise will lay the basis for advancing, in a more permanent way, the social, economic, and cultural welfare of the Chinese people in rural areas.

The aid to be furnished pursuant to sections 404 (a) and 407 is to be administered under the applicable provisions of the Economic Cooperation Act. As in the case of European countries, letters of intent have been exchanged with the Chinese Government as a basis for getting the program under way, and a bilateral agreement will be concluded with the Chinese Government covering the terms and conditions under which aid is to be furnished.

As in the case of other countries, but particularly in the case of China, the effectiveness of the program will depend largely on the effectiveness of its administration in China. We must, therefore, have a strong, competent mission there. I think we have been very fortunate to secure the services of Roger Lapham, former mayor of San Francisco, as chief of the ECA mission in China.

The unique conditions of civil war in China, the rapidly changing financial and economic conditions under which the program must be carried out, the lack of strong administration in the areas under National Government control, and the difficulty of preventing diversion of supplies to the wrong uses—all these factors combine to make necessary a somewhat larger staff than may be necessary in various European countries. In the estimates submitted there has been set aside a million and a half dollars for administration—a little less than one-half of 1 percent of the total authorization. I think that within this general limit, we ought to be able to assemble a staff that can discharge our responsibility in the administration of this program. I wish to underline, however, the importance of a sufficient staff for the purpose.

The amount authorized to be appropriated for economic aid to China is considerably smaller than the amount originally estimated by the executive branch as necessary to make an important contribution to arresting economic deterioration in China. There seems to be ample justification for the amount so authorized. I, therefore, strongly recommend the appropriation of the full amount authorized for economic aid to China.

The CHAIRMAN. Who is to be Chief of the ECA mission to China?

Mr. MOORE. Mr. Roger Lapham, former mayor of San Francisco.

The CHAIRMAN. To what extent, if any, has the State Department or anyone connected with it, made a survey of this situation so that they might report to us here about it?

Mr. MOORE. As to the whole $338,000,000 or the $125,000,000?

The CHAIRMAN. As to the whole or any part of it.

Mr. MOORE. We have here Mr. Thorp from the State Department, and Mr. Butterworth of the State Department, and Mr. Walker who I know is somewhat familiar with the reconstruction program.

The CHAIRMAN. What I am asking is this: Has anybody made any survey of this situation so they might tell us about it?

Mr. THORP. We presented the original program to the Foreign Affairs Committee at which time the whole picture of China was placed before the committee.

The CHAIRMAN. Has anybody here been over there and studied that situation so they can tell us anything about it?

Mr. THORP. Of course, Mr. Butterworth is a man who spent considerable time in China and he is Director of Far Eastern Affairs of the State Department.

Mr. MAHON. Who is Mr. Butterworth?

Mr. THORP. Mr. Butterworth is here; he is Director of Far Eastern Affairs.

And we are, of course, continually in touch with the situation through reports that come from our representatives both in the Embassy and the operations of the previous program of interim assistance to China.

DISCUSSION OF GEOGRAPHICAL AREAS OF CHINA

The CHAIRMAN. Do you have a map of China?

Mr. THORP. Yes.

The CHAIRMAN. I wonder if you could put that up some place where we could make use of it.

Mr. THORP. On the question of situation in China I think Mr. Sprouse, Assistant Chief of the Division of Chinese Affairs of the State Department, can be more helpful. He spent some 11 years in China.

The CHAIRMAN. Suppose you indicate to us, Mr. Sprouse, the areas, insofar as you can, that are controlled by the Communist, and those that are controlled by the Nationalists under Chiang Kai-shek.

Mr. MAHON. Point out on the map the location of Shanghai so we can get oriented to the map.

Mr. SPROUSE. This is Shanghai, in the east central area, on the coast.

To the northwest is Peiping, the former capital.

West of Shanghai is Nanking; and up the Yangtse River from Nanking is Hankow.

This is Mukden, west of Korea, in Manchuria; and Canton is in the southeast.

The area shaded in red on this map, including the area in Manchuria, and the other areas shown in red indicate the fairly well-established areas under the Chinese Communists.

In addition to the larger area there are these smaller areas [indicating]. For instance you have the area down here in the south, and some of the other areas which are loosely controlled by the Chinese Communists.

The CHAIRMAN. What do you mean by loosely controlled?

Mr. SPROUSE. In the sense that there is no sharp line of demarcation between the area controlled by the Communists and the Nationalists, in the sense that while you see the white line is sharply drawn the probability is, actually, the line of demarcation would not be so sharply drawn.

Then in the northeast you find this area under Communist control, near the boundary of China proper up through Manchuria, running along the Russian line.

Mr. MAHON. Where is Chungking, the former capital?

Mr. SPROUSE. Chungking is in the west central area, on the Yangtse River [indicating].

Mr. MAHON. And where is Canton?

Mr. SPROUSE. Canton is in the southeast area just opposite Hong Kong.

The CHAIRMAN. What is the territory down there indicated in the island?

Mr. SPROUSE. That is Hainan Island.

The CHAIRMAN. And where is Hong Kong?

Mr. SPROUSE. Hong Kong is in the area near Canton; this is British territory [indicating].

This is Hainan Island, which is Chinese territory. And further down here is French Indochina.

The CHAIRMAN. Indochina is pretty well Communist-controlled?

Mr. SPROUSE. That is, the northern part of Indochina is under the control of the Anamese in that area [indicating], which is Communist-infiltrated.

Mr. MAHON. The greatest concentration of population in China is in the Shanghai area; is it not?

Mr. SPROUSE. It would be in the coastal areas; the extreme western area of China is very sparsely settled.

Mr. MAHON. Do the Communists have more of the population outside of the Shanghai area?

Mr. SPROUSE. Not necessarily. For instance, Manchuria I think has an estimated population of somewhere around 40 million. There is a tremendous area in here, one of the few areas in China which remains open for settlement, giving opportunity for colonization from the other crowded areas in the region south of the Great Wall.

Then this area is heavily Communist [indicating]. It is estimated that of the total population of China the Communists have, it is roughly estimated, about one-third of the total population; and the estimated area again about one-third of the area that I have indicated; and this area is under the control of the Nationalist Government [indicating].

The CHAIRMAN. Where is Vladivostok?

Mr. SPROUSE. Vladivostok is on the Sea of Japan, off from Manchuria.

The CHAIRMAN. That is where the Russians have a railroad terminal?

Mr. SPROUSE. Of course, the Russians have a railroad which goes around through Siberia proper. There is also a railway which goes from Manchouli through Manchuria, across the northern part of Manchuria, and of course that area in Manchuria is under the control of the Chinese Communists. And, by the treaty of August 1945 between Russia and China provision was made for the right of joint administration of the railroad with the Chinese Government.

Mr. WIGGLESWORTH. The Trans-Siberian Railroad connects with that area?

Mr. SPROUSE. Formerly it did. The Russians had formerly joint control until the Japanese pushed them out, and at that time, or even

before that, the Russians were building a railway through their own territory to connect at Vladivostok, in Siberia.

The CHAIRMAN. What about the Mongolia area; what is that?

Mr. SPROUSE. That is treated as an independent republic, because in accordance with the treaty between China and the Soviet Republic of August 1945, it was agreed that a plebiscite would be held and the people in that area would themselves determine whether they would be an independent republic or remain with China. They voted to become an independent nation, but for all intents and purposes, it is nothing in the world but a Soviet state.

The CHAIRMAN. It does not contain a very large population, does it?

Mr. SPROUSE. No.

The CHAIRMAN. What would you say would be the population?

Mr. SPROUSE. I would say roughly between five and six million; that is only an estimate.

AGRICULTURAL AREAS OF CHINA

The CHAIRMAN. Is that a good agricultural territory?

Mr. SPROUSE. This is mostly arid [indicating].

The CHAIRMAN. What about the territory to the south of Mongolia?

Mr. SPROUSE. When you get into the area of China proper it is still more or less of a nomad grazing area. In this area [indicating] of China it is primarily agricultural, and they have been encroaching upon the grazing lands for some time. There are some points in that area [indicating] where they have deserts. And from that area you get into the grassland and agricultural land.

The CHAIRMAN. How much of the agricultural country is really a part of China below the Mongolian line?

Mr. SPROUSE. It is estimated, in the over-all sense, that 80 percent of China, at least 80 percent of the population, is rural.

The CHAIRMAN. Have you been through that country?

Mr. SPROUSE. I have been through this part [indicating], and I have been up and down this area.

The CHAIRMAN. What sort of agricultural country is it?

Mr. SPROUSE. This is all garden farming, in the sense that the Chinese do not have any large land holdings. They use irrigation to a large extent; and there is a great deal of rice grown in the southern area, and in the north central area [indicating] wheat; and as you go to the north they grow grain. The staple food in the south is rice, and in the north it is more flour and wheat.

The CHAIRMAN. Out in the western part of China what is it?

Mr. SPROUSE. When you get into the west—and I mean this area [indicating].

The CHAIRMAN. Yes.

Mr. SPROUSE. Around Chungking, you find one of the principal farming areas in China, with a tremendous output of agricultural products and other things.

The CHAIRMAN. Do they have any way of moving them out?

Mr. SPROUSE. Transportation is one of the difficult problems. They use the Yangtze River, going to Chungking, and during certain seasons of the year they can transport goods by river, by raft, or by small ships, called junks down to Hankow which is about halfway between Shanghai on the coast and Chungking up the river; and from Hankow

they can be transshipped in larger vessels; during the high-water season, during the summertime, the goods are moved on ships of about 10,000 tons into this area [indicating].

There is a railway line running north and south from Peiping down to Canton; and this particular country [indicating] is not under Communist control.

There are some motor roads, and transportation during the war from this area came over the Hump route from India and goods were transported inland by highway, by trucks.

The CHAIRMAN. A major part of the agricultural and grazing land, mountain lands to the west of Chungking are not very accessible?

Mr. SPROUSE. No; it is not very accessible; there are tremendously high ranges of mountains through that area [indicating].

The CHAIRMAN. And whatever they produce they have difficulty in getting to market?

Mr. SPROUSE. Yes. And that would be true throughout this extensive area [indicating].

The CHAIRMAN. It is rather primitive?

Mr. SPROUSE. Over in the western area, yes.

The CHAIRMAN. The eastern part is better, but I suppose folks from here are very seldom visitors?

Mr. SPROUSE. I think possibly Americans have been in most areas of China; the missionaries have spread out in all places. During the war, when the Chinese from the coastal regions were in this area [indicating], they aided and assisted tremendously in the development of west China. Americans have been through this area, and changes during the war made possible an advanced development in this area which ordinarily would have required 50 years. That would be possibly true in this area here, just before the war. But even in those areas the rural population are living similar to what might have been the situation 50 or even several hundred years ago.

The CHAIRMAN. In the territory that is marked white on the map, where the Chinese live, whom we would reach: That is the more fertile area; that it down in the south?

Mr. SPROUSE. Yes.

The CHAIRMAN. That is, south of the red color, or pink color, or whatever it is; that is China's richest agricultural territory; is it not?

Mr. SPROUSE. Yes. Not as much, perhaps, as this area through the northern China line [indicating]. There are more mountains through that area [indicating].

Mr. MAHON. The Communists have the best land in China?

Mr. SPROUSE. Not necessarily. They have this area north of the mountains.

But in this area around Chungking, and the area west of Chungking you find probably the most fertile land in China; it is watered by an irrigation system which I think was built about 2,000 years ago, and still continues as an important system; it is a piece of marvelous engineering.

The CHAIRMAN. Under ordinary circumstances that territory is pretty well self-supporting?

Mr. SPROUSE. Yes; from the standpoint of food, some of the areas in the west continue to be.

The CHAIRMAN. What part of it is not self-supporting?

Mr. SPROUSE. I cannot tell you that. In this area [indicating] they have very rich agricultural land; in here they get about three rice crops a year—at least two. One of the problems is the limited distribution system which keeps China from being more self-sufficient. Usually the Chinese have an outlet through this area around Canton. During the war they had a great deal of difficulty because they were cut off from overseas, and the amount in that area is not sufficient.

China, as in the past, has had to import from other areas some of her foodstuffs.

The CHAIRMAN. Where did she get it?

Mr. SPROUSE. It came in from Indochina, Siam, and Burma, largely.

The CHAIRMAN. Indochina is not exporting anything now, so to speak?

Mr. SPROUSE. I am not sure about that.

CONSULAR AND DIPLOMATIC REPRESENTATIVES IN CHINA

The CHAIRMAN. To what extent do we have consular and diplomatic representatives in there at this time, and where are they?

Mr. SPROUSE. We have 12 posts. We have one at Canton, one at Kunming, and one at Chungking, up the Yangtze River. Then coming down the river, one at Hankow. We have an Embassy at Nanking; we have a consular office at Shanghai, which is the largest consulate we have. We have one at Tienstin, also one at Peiping, and one at Mukden; also one at Tsingtao and on Taiwan—Formosa.

The CHAIRMAN. Formosa belongs to China at the present time?

Mr. SPROUSE. It does in a sense——

The CHAIRMAN. Japan had it for awhile?

Mr. SPROUSE. Yes. That is to be decided by the treaty with Japan, but China, according to the Cairo Declaration—this is one of the territories that had been stripped from China from the Japanese which was to be returned, and so they have pretreaty control of it now.

The CHAIRMAN. It has been returned to China?

Mr. SPROUSE. In the sense that they are occupying it; it is administered under Chinese administration.

The CHAIRMAN. How long did the Japanese have it?

Mr. SPROUSE. They had it from 1905 until 1945—about 40 years—no, from 1895, I believe about 50 years.

The CHAIRMAN. Have you had reports as to the condition of things in China, that you would care to tell us, either on or off the record, and say what you would like to do?

Mr. SPROUSE. Economical or political?

The CHAIRMAN. Either one or both.

Mr. SPROUSE. Mr. Walker can talk about the economic.

The CHAIRMAN. Do you want this on the record?

Mr. SPROUSE. I think this can be on the record, and if there are some things which should not be I would like to have permission to delete, but I think most of this can be on the record.

The CHAIRMAN. Very well.

MILITARY SITUATION

Mr. WIGGLESWORTH. From the military standpoint, where is the pressure at the moment?